

Q3 2026 Databricks: Reading the \$188 Billion Term Sheet

A signed bid 40% above the last mark, and the accelerating engine underneath it

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Valuation per AIBQ point across the frontier cohort, with Databricks shown at both its completed \$134 billion mark and the announced \$188 billion term sheet.

Databricks signs at \$188 billion, and the quality math survives the re-rate

Databricks signed a Coatue-led term sheet at \$188 billion on July 17, 40% above February's completed mark, with the close expected later this summer. The revenue ladder under the bid is still accelerating at \$7 billion scale. Even at the higher price, the company remains the cohort's cheapest asset per unit of business quality.

Report picks

Databricks: Brick by Brick (July 2026 initiation)

Databricks Company Update: The Appraisal Moves (August 2026)

Key takeaways

- **On July 17, Databricks signed a term sheet at \$188 billion, and the new price stands 40% above the mark it completed in February.** Coatue leads the round with new and existing investors behind it, and press reports put the size near \$3 billion.^{1,3} Until funds settle, the \$134 billion February mark anchors the base case.
- **The same \$6.9 billion run-rate now carries two prices: 19.4x at the completed mark and 27.2x at the announced one.** Because no operating figure moved with the announcement, the September print will decide which multiple the buyer actually paid.⁷
- **Four straight prints have pushed growth from +50% to +80% YoY on a run-rate that now reads \$6.9 billion.** Gross margin runs the other way: 74% today, guided lower, four points above the 70% floor that forces a quality re-score.⁷
- **At either mark, Databricks remains the cohort's cheapest quality-adjusted asset: \$15.2 billion per point of business quality completed, roughly \$21.3 billion announced (est.).** The nearest peer pays about \$118 billion per point. We assess a close by October 31 as very likely (80-95%). Confidence: moderate; the size and terms remain press-sourced.³

The term sheet: signed at \$188 billion, unclosed

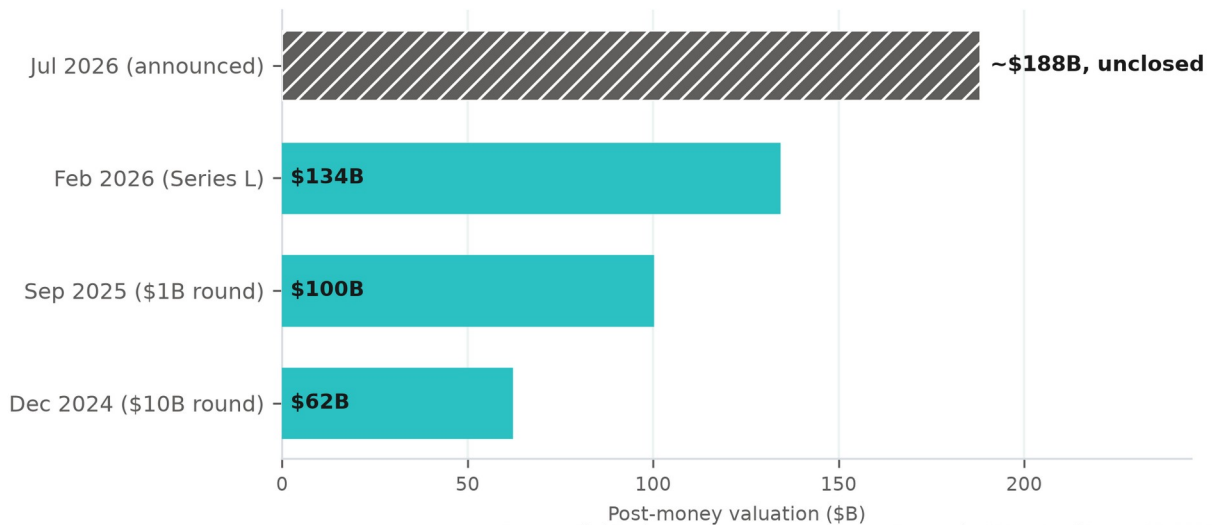
The round spent June as a rumor and July as a fact. On July 17, Databricks signed a term sheet for a strategic round at \$188 billion post-money.¹ Coatue leads, and new and existing investors fill out the book. How much money is moving remains undisclosed; press reports put the figure near \$3 billion.³ Nor is the cash in hand. The company expects to close later this summer, and PitchBook carries the round as announced and in progress; it is the thirteenth in the company's history.^{2,5}

The price carries the first insight. February's completed mark was \$134 billion; the term sheet lands 40% above it, and \$13 billion above the top of the \$165 billion to \$175 billion range that circulated in June.⁶ Rumored rounds tend to shrink on contact with a term sheet, because talks leak at their most hopeful number. This one grew, and the growth is the clearest available reading of demand. Even so, the step is restrained by cohort standards: over the same five months, the nearest frontier peer moved from \$380 billion to \$965 billion.⁴

A second insight sits in the size. Where February's round raised \$7.0 billion, this one seeks barely \$3 billion, and the business behind both already funds itself from operations.⁶ A company that raises small at a 40% markup is not covering a shortfall; it is marking itself up and putting reserves away on its own schedule. The proceeds point at the AI product line: Genie, Unity AI Gateway, and Lakebase.¹ None of this moves the base case. Under the house rule, an unclosed round never anchors valuation, so \$134 billion remains the working mark until funds settle. Whether the higher price is earned is a question for the operating record, and the record has an answer.

Three completed marks and a signed bid

Databricks post-money valuation (\$B)



Post-money marks, December 2024 to July 2026. Completed marks solid; the July 17, 2026 term sheet hatched: announced at \$188B, unclosed, not adopted until funds settle.

The engine under the bid: four accelerating prints

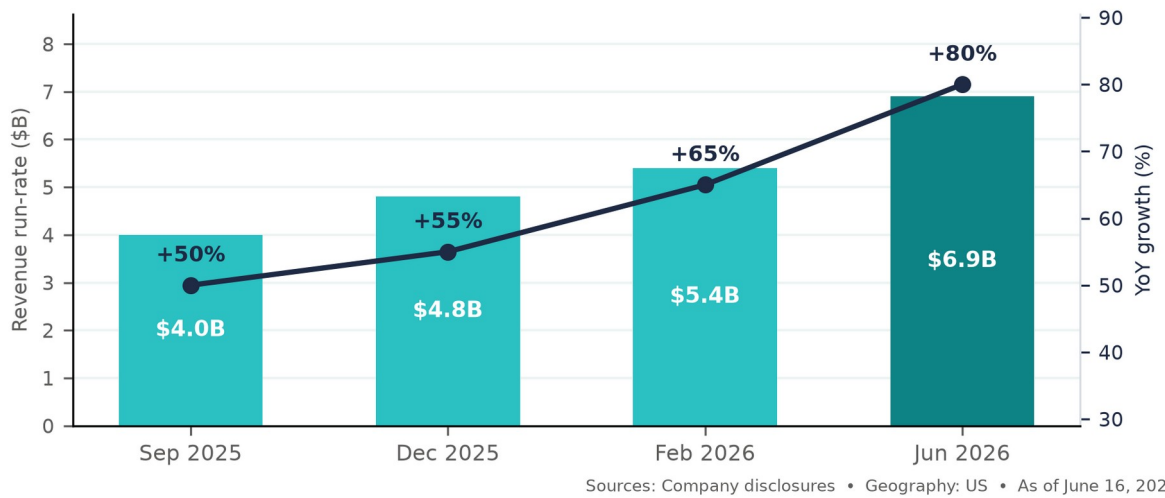
The record's answer is acceleration. Nothing operational moved with the announcement; the bid re-rates an engine that has grown faster with every report. The latest print put annualized revenue at \$6.9 billion, up 80% year over year.⁷ That made four consecutive prints of accelerating growth, and the ladder tells it plainly: \$4.0 billion, \$4.8 billion, \$5.4 billion, \$6.9 billion in ten months. Software companies at this scale are supposed to slow down. This one keeps speeding up.

Gross margin is the counterweight, and it is the number to watch. The margin stands at 74%, down from above 80%, and management guides it lower for a structural reason: agents fire queries at machine speed, and the compute bill lands in cost of revenue.⁷ That trade sits at the heart of the story because the fastest-growing revenue arrives with its own rising cost attached. The floor that matters is 70%. Break it, and the quality score gets rebuilt regardless of what the round does. The cushion today is four points.

The rest of the record is firm but dated. At the February disclosure, free cash flow was positive on both trailing and fiscal-2025 bases, retention ran above 140%, and the platform served more than 20,000 organizations; each of those figures is now past its refresh window.⁶ Headcount stands at 9,000.⁵ The September-to-October window is the scheduled refresh; until then, the old numbers carry their dates. What can be priced today is the current part of the record: the growth, the margin, and the gap between the two marks.

Growth is accelerating at \$7 billion scale

Annualized revenue run-rate (\$B, bars) and YoY growth (%), line)



Annualized revenue run-rate (bars) and year-over-year growth (line), company disclosures September 2025 to June 2026. No new print since June 16.

Pricing the quality: both marks stay on the cohort floor

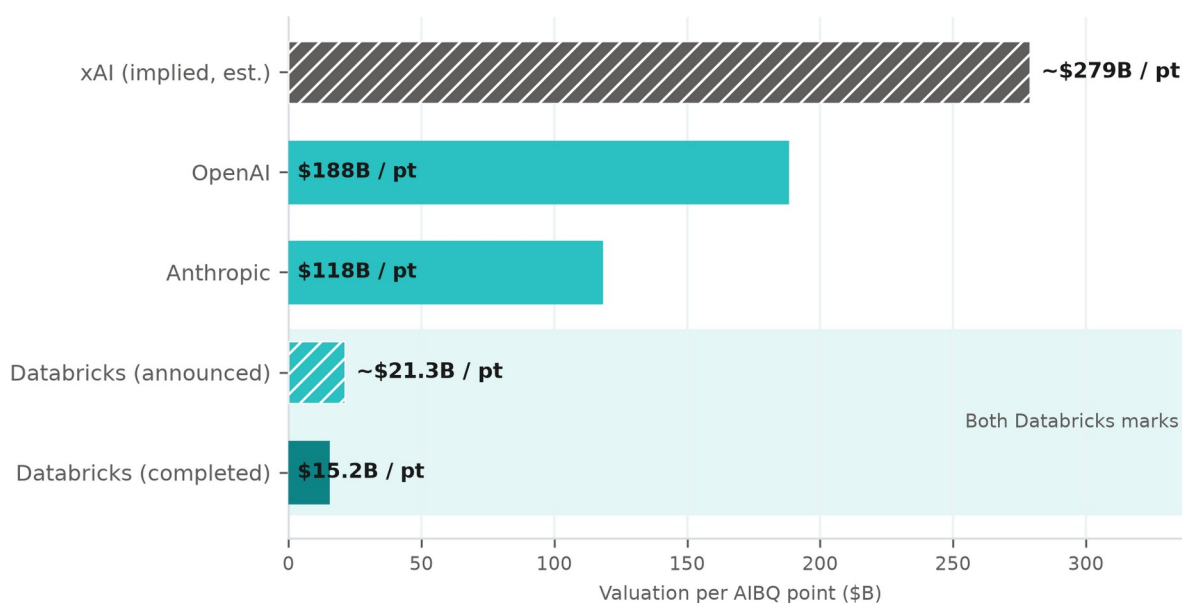
Pricing that record is straightforward because the bid re-prices the same June print. At \$134 billion, the multiple is 19.4x run-rate; at \$188 billion, it is 27.2x. Growth adjustment keeps both defensible. At 27.2x against 80% growth, a point of growth costs 0.34x, while the closest listed comparable trades at 15.3x against guided growth of 31%, or 0.49x per point.⁹ The buyer at the higher private price still pays less per unit of growth than the public market pays for the slower asset.

The quality lens tells the same story from a different angle. On the desk's framework, the completed mark prices business quality at \$15.2 billion per point, and the announced bid prices it at roughly \$21.3 billion (est.). The nearest peer pays about \$118 billion per point, the top of the cohort pays close to \$188 billion, and the listed parent's implied AI segment pays roughly \$279 billion (est.). At either mark, Databricks prices at least five times below its nearest peer. That spread, not the round, is the durable fact in this note.

Two dates will decide the next quarter of this coverage. The first is the close: the company points to later this summer, and we assess completion by October 31 as very likely (80-95%). Confidence: moderate, because the size and terms rest on press sourcing the company has not confirmed.³ The second is the print: a September-to-October disclosure that tests the run-rate against \$6.9 billion, the margin against the 70% floor, and February's metrics against fresh ones. The kill criterion is already written. A gross-margin print below 70% by the October disclosure forces a quality re-score, round or no round. The registry, meanwhile, stays quiet: no S-1 was on file at the last check.⁸

The buyer pays the least per unit of quality, at either mark

Valuation per AIBQ point (\$B)



Sources: PitchBook, company disclosures, PitchBook analysis • Geography: US • As of August 10, 2026

Valuation per AIBQ point, August 10, 2026. Databricks shown at completed and announced marks; xAI implied inside its listed parent (est.); SSI excluded (pre-revenue).

Estimative language

Forward-looking judgments in this note use the desk lexicon below. Numbers in parentheses give the assessed probability range. Confidence is stated separately and describes the evidence base, not the event. 'Possible' is never modified; one odds-bearing word per sentence.

Probability bands

Term	Range
Almost no chance / remote	1-5%
Very unlikely / highly improbable	5-20%
Unlikely / improbable	20-45%
Roughly even chance	45-55%
Likely / probable	55-80%
Very likely / highly probable	80-95%
Almost certain / nearly certain	95-99%

Desk adoption of the ICD 203 estimative standard; judgments are logged with dates and resolution criteria for calibration.

References

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<https://www.dealstreetasia.com/stories/coatue-led-funding-round-to-value-databricks-at-188b-489409/>

- 2.** Databricks hits \$188B valuation (TechCrunch), July 17, 2026.
<https://techcrunch.com/2026/07/17/databricks-hits-188b-valuation-extending-its-run-as-ais-favorite-second-act/>
- 3.** Coatue-led \$3B investment at \$188B (WSJ, via Reuters/CNA), July 16-17, 2026.
<https://www.channelnewsasia.com/business/databricks-valued-188-billion-after-coatue-led-investment-wsj-reports-6259931>
- 4.** PitchBook News: Databricks' 40% valuation bump looks 'almost quaint' next to Anthropic, July 17, 2026. <https://my.pitchbook.com/news-center/pb208542455521588824>
- 5.** PitchBook company profile 59199-40 (last updated August 10, 2026) and financing note, August 7, 2026. <https://my.pitchbook.com/profile/59199-40/company/profile>
- 6.** Databricks company announcement: Series L final close and operating metrics, February 9, 2026.
- 7.** Databricks Data + AI Summit analyst-session disclosures (\$6.9B run-rate, +80% YoY, 74% gross margin), June 16, 2026.
- 8.** SEC EDGAR submissions API, CIK 0001587468 (no registration statement on file), verified July 10, 2026. <https://data.sec.gov/submissions/CIK0001587468.json>
- 9.** Snowflake 8-K, Q1 FY2027 results and FY2027 product revenue guidance (\$5.84B, +31%), May 27, 2026.